The yen, dollar and Big Mac Index

July 2026 / Comparing prices and exchange rates through one product

Japan versus the United States

Market	Survey price and conversion
Japan	JPY 500
United States	USD 6.22 × JPY 162.135/USD = approximately JPY 1,008

About 2.02 times Japan’s price

Converted at the survey exchange rate, the US price was about 2.02 times Japan’s. This comparison uses July 2026 survey prices and exchange rates.

What the index measures

The Big Mac Index compares national prices to explore currencies’ purchasing power. Even for the same branded product, local wages, rents and taxes affect prices.

A limit of the comparison

This price gap alone cannot establish a fair exchange rate for the yen or dollar.

International prices in yen

13 selected markets, converted at exchange rates from the same survey

July 2026 comparison

Market	Price in JPY	Japan = 100
Switzerland	1,466	293
Uruguay	1,449	290
Norway	1,306	261
Colombia	1,298	260
Israel	1,243	249
United Kingdom	1,200	240
Euro area	1,148	230
United States	1,008	202
China	635	127
South Korea	622	124
Japan	500	100
Philippines	444	89
Indonesia	386	77

Reading the table

Japan is on the lower-priced side of this comparison in yen terms. Prices are rounded to the nearest yen and index values to whole numbers.

An exchange rate that equalizes prices

A simple purchasing power parity calculation

Back-calculating from survey prices

What exchange rate would make a Big Mac cost the same in Japan and the US?
JPY 500 ÷ USD 6.22 = approximately JPY 80.4 per US dollar.
Survey market rate: USD 1 = JPY 162.135.

About 50.4% below the dollar benchmark

Comparing this simple purchasing power parity rate with the market rate implies that the yen was about 50.4% undervalued against the dollar by this measure.
Calculation: (80.3859 ÷ 162.135 - 1) × 100.

Not a fair-value estimate or forecast

About JPY 80/USD is a comparison based on one product’s price, not a fair exchange rate or a prediction. This simple comparison includes differences in wages, rent and taxes and does not adjust for income levels.

What the index shows - and its limits

Interpreting the July 2026 comparison

1. Converting yen into dollars

Japan’s JPY 500 price equals approximately USD 3.08 at the survey exchange rate, below the US price of USD 6.22.

2. Local costs also affect prices

Wages, rents, taxes, logistics and competition influence prices. Exchange rates alone cannot explain the entire gap.

3. It is not a measure of overall living standards

One product cannot measure living standards including wages and housing costs, or the economic strength of a whole country.

A visual guide, not a prediction

It offers an intuitive view of price gaps associated with a weaker yen and stronger dollar. It is not an exchange-rate forecast or a yardstick of national wealth.
Data basis: July 2026. Prices and exchange rates are survey-period values.